4-2b Statement of Stockholders’ Equity

The statement of stockholders’ equity is prepared by entering the beginning balances for common stock and retained earnings as of November 1, 20X3. Since **NetSolutions** began operations on November 1, these balances are zero in Exhibit 2.

The common stock of $25,000 that was issued during the period is entered in the Common Stock column. During the period, NetSolutions earned net income of $7,105, which increases retained earnings and is therefore entered in the Retained Earnings column. NetSolutions paid dividends of $4,000 during the period, which reduces retained earnings and is therefore entered as a deduction in the Retained Earnings column. Entries in each row are added across and the total is entered in the Total column. Finally, all of the columns are totaled to arrive at the ending balances for Common Stock and Retained Earnings and the total of stockholders’ equity as of December 31, 20Y3.

For the following period, the beginning balances of Common Stock and Retained Earnings for NetSolutions are the ending balances that were reported for the previous period. For example, assume that during 20Y4, NetSolutions issued no additional common stock, earned net income of $149,695, and paid dividends of $24,000. The statement of stockholders’ equity for the year ending December 31, 20Y4, for NetSolutions would be as follows:

NetSolutions
Statement of Stockholders’ Equity
For the Year Ended December 31, 20Y4

	Common Stock	Retained Earnings	Total
Balances, January 1, 20Y4	$25,000	$ 3,105	$ 28,105
Net income		149,695	149,695
Dividends		(24,000)	(24,000)
Balances, December 31, 20Y4	$25,000	$128,800	$153,800

Link to Zynga

Zynga does not pay dividends and on recent financial statements reported a net income of $15.5 million and a retained earnings deficit (debit balance) of $1.8 billion.